BBA
Water Consultants, Inc.

October 8, 2025

Jonathan Cain, Town Manager
Town of Nederland, Colorado
45 West First Street
Nederland, Colorado 80466

Via email only: townadmin@nederlandco.org

RE: Proposed Scope of Work and Engagement Letter for Water Resource Consulting Services related to the USFS Permit and water supplies for Eldora Mountain Resort.

Dear Mr. Cain:

As I'm sure you are aware, we have had several discussions with Dale Ratliff, an attorney who represents the Town of Nederland (Nederland) supporting the proposed purchase of Eldora Mountain Resort (Eldora) and the transfer of the USFS Special Use Permit. We understand from Mr. Ratliff that Nederland would like our assistance with the transfer of the permit, and particularly the preparation of a required Water Sufficiency Letter of the water supplies for Eldora. This letter provides a proposed Scope of Work and serves as a Letter of Engagement for our consulting services to support this effort.

BBA Water Consultants has represented Eldora for many years, providing water resources consulting services related to the water rights and water supply system for the resort. We have detailed knowledge of the water supplies, water facilities and water operations. In 2016, we prepared a Water Sufficiency Letter of Eldora's water supplies for the USFS. We understand from Mr. Ratliff that the transfer of the special use permit to Nederland requires an update to that 2016 Water Sufficiency Letter. Based on our experience, we are best-qualified to prepare the required update for Nederland. Due to our continued representation of Eldora, we requested and obtained a Waiver of Conflict from both Eldora and Nederland that allows us to represent Nederland with the preparation of this Water Sufficiency update.

The following summarizes the Scope-of-Work that we expect will be needed to provide the required information to support the transfer of the USFS permit to Nederland.

Scope-of-Work

1. Confirmation of USFS Requirements

   Prior to initiating any efforts, we will coordinate with Mr. Ratliff or his associates, and the USFS if needed, to confirm the requirements regarding confirmation of Eldora's water supplies. This will help refine the following tasks and specify the nature and format of any work products necessary to support the permit transfer.

2. Information Review

   For this task, we will review both the prior 2016 Water Sufficiency Letter and the supporting file information. We will review file information regarding any new water supply features that have been added, modified or replaced since the prior letter.

3. Update Water Supply Summary

   Based on the information review in Task #2, we will prepare any new water supply information that may be needed to update the 2016 Water Sufficiency Letter. This may include preparation of new or updated descriptions, tables, maps, etc. This may require supplemental information from Eldora or others.

4. Prepare Updated Letter

   We understand that the desired work-product will be the preparation of an Update Letter to the 2016 Water Sufficiency Letter. We will prepare the required letter, including any associated maps, tables or other appendices. This letter should be sufficient for Nederland to provide to the USFS in support of the requested permit transfer.

5. Other Services

   It has been our long-standing experience with projects like this, that certain tasks may be needed that are difficult to identify ahead of time. We will conduct any additional activities that may be needed to support your goals, but only upon specific authorization from Nederland or your attorney. Any such additional activities will be subject to the Waiver of Conflict letter signed by both parties.

BBA Engagement

We charge for our engineering and consulting services based on hourly rates for our personnel assigned to your project. These rates include our employees' hourly salaries, general and administrative overhead, and fee. Our rates are reflected in the attached Standard Schedule of Compensation.

The expenses our personnel incur in direct connection with the project will be billed to you at cost. BBA submits invoices monthly for work completed through the 15th of the month and terms of payment are net thirty days; interest at the rate of 1½ percent per month (annual rate 18 percent) will be added to that part of the balance not paid within thirty days of the invoice date. Services are subject to be discontinued on the project if payment on an invoice is not made within 45 days of the date of that invoice, unless prior arrangements have been made.

Meetings with you and others, and work after our work products have been delivered, will be billed at our normal hourly rates, with your advance approval. To confirm our understanding of this engagement, and authorize us to proceed, please sign this letter and return a copy to us for our files.

The terms of this proposal are offered for a period of thirty days from submittal only. To the maximum extent permitted by law, the Client agrees to limit the BBA's liability for the Client's damages to the sum of $100,000. This limitation shall apply regardless of the cause of action or legal theory pled or asserted.

We hope that this provides you with an indication of the consulting services that will likely be needed to support the transfer of the USFS permit from Eldora to Nederland. We look forward to assisting you with this project! If you have any questions or need additional information, please do not hesitate to call.

Very truly yours,

BBA Water Consultants, Inc.

Jeff Clark
Principal - Hydrologist

JAC/jeb
Enclosure
2536.00

For:_____
Contracting Agency

Digitally signed by Jonathan Cain
DN: cn=Jonathan Cain, o=Town of Nederland, ou=Town and Zoning Administrator, email=townadmin@nederlandco.org
Reason: I agree to the terms defined by the placement of my signature on this document
Date: 2025.10.14 19:47:53 -06'00'

By:_____
Authorized Signature Title

Date:_____

BBA
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Christopher J. Sanchez
Jeffrey A. Clark
Daniel O. Niemela
Jonathan D. George
Kristina L. Wynne
Austin P. Malotte
Michael A. Sayler
Charles E. Stanzione

SCHEDULE OF COMPENSATION

Effective January 2025

Applicable to Services Furnished on a Per Hour Basis

Classification	Billing Rate
PROFESSIONAL STAFF	
Principal	$250.00-$295.00
Associate/Senior Project Manager	$200.00-$240.00
Project Manager	$160.00-$230.00
Senior Engineer/Hydrogeologist/Hydrologist	$140.00-$200.00
Project Engineer/Hydrogeologist/Hydrologist	$120.00-$160.00
Engineer/Hydrogeologist/Hydrologist II	$110.00-$160.00
Engineer/Hydrogeologist/Hydrologist I	$85.00-$120.00
GIS Specialist	$100.00-$150.00
TECHNICAL SUPPORT STAFF	
Intern/Technician	$50.00-$95.00
Word Processing/Administration	$70.00-$100.00

The above Standard Schedule of Compensation is subject to periodic revision. The schedule includes salary costs, ordinary overhead and profit. Applicable expenses for travel and subsistence, incidental out-of-pocket costs, communications, reports preparation, printing, outside services, etc., are reimbursable at invoice cost plus 10 percent. Mileage is reimbursed at the IRS Standard Mileage Rates for business miles driven.